



Exclusive Tenant Representation Agreement

This agreement (this "**Agreement**") is dated as of _____, 20____ (the "**Effective Date**") between Compass Illinois, Inc. d/b/a Compass ("**Compass**"), as your exclusive broker, and _____ ("**Client**"). This Agreement will explain Compass's role and how Compass will function in the leasing process. Client hereby grants Compass the exclusive right to locate a Property for Client to lease in accordance with the terms of this Agreement. Each of Compass and Client are individually referred to herein as a "**Party**" and collectively as the "**Parties**."

1. Location of Properties; Compass's Services and Duties; Tenant's Designated Agent. Client hereby appoints Compass as Client's exclusive agent for the purpose of assisting Client in locating and leasing real property in the following area(s) _____ ("Property"). Compass and Client agree _____ and _____, each a sponsored licensee of Compass ("Agent"), is Client's Designated Agent under this Agreement with Compass and neither Compass nor other sponsored licensees of Compass will be acting as agent for the Client. Compass, through the Agent, will work with you to identify properties that meet your specifications relating to location, price, features, and amenities. In this connection, the Agent will locate and present to Client those Properties that meet Client's requirements. In addition, the Agent will: (a) specifically represent your interests; (b) arrange for and show Properties that Client identifies and reports to Agent as appropriate; (c) consult with Client regarding the value of Properties of interest; (d) negotiate, on your behalf; (e) prepare a lease, under Client's direction; (f) safeguard any confidential information that Client discloses; (g) disclose to Client the amount of compensation Compass will receive in the event a lease is executed; and (h) assist Client with various services needed to finalize the transaction. The duties owed to Client by Designated Agent(s) are as referred to in the Illinois Real Estate License Act of 2000, as amended. Designated Agent(s) agree to follow any local, state or federal leasing rules and regulations.

DISCLAIMER. Agent's and Compass's obligation is limited to conducting a reasonable visual inspection of any Property that Client selects for lease. Neither Agent nor Compass shall have any obligation to discover latent defects in any Property. Client acknowledges that Agent and Compass are real estate agents and brokers only, and not attorneys, tax advisors, lenders, mortgage brokers, appraisers, surveyors, structural engineers, home inspectors, environmental consultants, architects, contractors, or other service providers. Agent or Compass may refer such a service provider to Client, at Client's request and expense, and neither Agent nor Compass shall be liable for or act as a guarantor of such services.

2. Client's Duties and Commitment to Agent. Because Agent is compensated only in the event of a successful transaction, Agent will greatly appreciate your cooperation and loyalty. Client agrees to (i) provide Compass with their leasing priorities and timely consider properties selected by Compass or Client, (ii) submit through Compass any offers to lease property, and (iii) provide accurate and relevant personal information to Compass. Client represents and covenants that no other exclusive tenant representation agreement is currently in effect pertaining to Client and that Client will not enter into such an agreement with any other broker during the "Term," as hereinafter defined.

3. Compensation. Commissions are negotiable and not set by law.

(A) Commission. SELECT ONE:

☐ Client agrees to pay Compass a lease commission equal to _____ % of one month's rent as compensation for services provided to Client in Client's leasing of property.

☐ Client agrees to pay Compass \$ _____ as compensation for services provided to Client in Client's leasing of property.

☐ Client agrees to pay Compass (describe here in objectively ascertainable terms)

(B) If the landlord is offering the compensation stated in section 3(A), Compass shall seek payment directly from the landlord. In the event the compensation offered to Compass by the landlord is less than the compensation laid out in section 3(A), Client agrees to compensate Compass the difference between the compensation paid by the landlord and the compensation in section 3(A). In the event that the landlord does not pay the compensation, Client understands Client is responsible to pay Compass the compensation in section 3(A).

This section applies if Client enters into a contract to acquire real estate during the Term and such contract results in a closed transaction. Any modifications to this section, including the compensation to be paid to Compass, can be accomplished by written agreement of the Parties.

Compass may not receive compensation from any source that exceeds the amount or rate agreed to with Client.

(C) Protection Period: If within _____ days ("Protection Period") after the termination of this Agreement, Buyer acquires any property to which Client was introduced by Client's Designated Agent, then Client agrees to pay Compass the compensation provided for in this Section. However, no compensation will be due to Compass if, during this Protection Period, Compass enters into a separate exclusive buyer representation agreement with another broker.

4. Retainer. Client agrees to pay Compass a retainer of \$_____ upon execution of this Agreement, to be credited to the compensation the Client has agreed to pay Compass in section 3 above.

5. Term. The term of this Agreement (the "Term") shall begin on the Effective Date and shall terminate at 11:59 p.m. on _____, 20____ (the "Termination Date"). The Term may be extended by mutual written agreement of the Parties. This Agreement may not be terminated or amended prior to the Termination Date without the express written consent of both Parties. If Client terminates the Agreement prior to the Term, Client shall pay Compass a fee of \$_____.

6. Other Buyers/Lessees. Agent, as well as other agents at Compass, may represent or work with other buyers or lessees who may be interested in contracting for the same Property that Client may select. In such event, Agent will disclose to Client that another buyer or lessee may have an interest in the Property. At all times, Client will be treated fairly and honestly. Client consents to Agent's and Compass's representation of such other buyers or lessees, as the case may be, before, during and after the termination of this Agreement and expressly waives any claims including, but not limited to, breach of duty or breach of contract based solely upon Agent's or Compass's representation or assistance of other buyers or lessees who may be interested in buying or leasing such Property.

7. Disclosure and Consent to Dual Agency. NOTE TO CLIENT: THIS SECTION SERVES THREE PURPOSES. FIRST, IT DISCLOSES THAT AGENT, COMPASS, OR BOTH, MAY POTENTIALLY ACT AS A DUAL AGENT, THAT IS, REPRESENT MORE THAN ONE PARTY TO THE TRANSACTION. SECOND, THIS SECTION EXPLAINS THE CONCEPT OF DUAL AGENCY. THIRD, THIS SECTION SEEKS CLIENT'S CONSENT TO ALLOW AGENT AND COMPASS TO ACT AS A DUAL AGENT. AGENT OR COMPASS, OR BOTH, LEGALLY MAY ACT AS A DUAL AGENT ONLY WITH CLIENT'S CONSENT. BY CHOOSING TO INITIAL THIS SECTION OF THIS AGREEMENT, CLIENT'S CONSENT TO DUAL AGENCY REPRESENTATION IS PRESUMED.

Agent and Compass, and any subsequent successor or assign of Agent or Compass, may undertake a dual representation (represent both seller/landlord and buyer/tenant, as the case may be) for the lease or sale of real estate. Client acknowledges that Client was informed of the possibility of this type of representation. Before signing this Agreement, Client acknowledges that Client has read the following: Representing more than one party to a transaction presents a conflict of interest since both clients may rely upon Agent's or Compass's advice and such client's respective interests may be adverse to each other. Agent and Compass will undertake this representation only with the written consent of ALL clients in the transaction. Any agreement between the clients as to a final rental or price and other terms is a result of negotiations between the clients acting in their best interests and on their own behalf. Client acknowledges that Agent or Compass has explained the implications of dual representation, including the risks involved, and understand that Client has been advised to seek independent advice from Client's advisors or attorneys before signing any documents in this transaction.

DUAL AGENCY CONFIRMATION (INITIAL ONE): Yes_____ No_____

8. Lessee Disclosure Receipt and Lessor Representations. Compass and Designated Agent will request all federal, state, and local Property disclosures for Lessee at time of application. Disclosures may include but not be limited to the Illinois Disclosure of Potential Flooding in Rental and Lease Agreements, Residential Landlord Tenant Ordinance Summary, Security Deposit Interest Rate Summary, Lead-Based Paint Disclosure, and Disclosure of Radon Hazards. Compass and Designated Agent will request Disclosures and any associated manuals, links, and guides to satisfy Lessee protection at time of application. (i) Lessor should disclose the existence of any and all video and/or sound surveillance devices on the Property, (ii) Lessor should comply with all federal, state, and local rules, laws, and regulations relating to eavesdropping and wiretapping. Lessee hereby agrees to indemnify and hold Broker, Compass and their agents, servants, successors, representatives, related independent contractors and assigns harmless from any and all claims, costs, and expenses, including attorneys' fees, arising directly or indirectly out of or from the condition of the Property, failure to disclosure at time of Lessee application, any inaccuracies or incomplete information furnished by Lessor, Lessor's actions or inactions in connection with the Property and/or Lessor's breach federal, state, and local law and regulation.

Lessee(s) Initials: _____

9. Fair Housing Act. IT IS ILLEGAL FOR AGENT OR COMPASS TO REFUSE TO DISPLAY, SHOW, OR REFUSE TO NEGOTIATE FOR THE LEASE / PURCHASE OF, OR OTHERWISE MAKE UNAVAILABLE OR DENY, REAL ESTATE TO ANY PERSON BECAUSE OF ONE'S MEMBERSHIP IN A PROTECTED CLASS, e.g.: RACE, COLOR, RELIGION, NATIONAL ORIGIN, SEX, ANCESTRY, AGE, MARITAL STATUS, PHYSICAL OR MENTAL DISABILITY, FAMILIAL STATUS, OR ANY OTHER CLASS PROTECTED BY THE FAIR HOUSING ACT AND ARTICLE 3 OF THE ILLINOIS HUMAN RIGHTS ACT. THE PARTIES AGREE TO BE BOUND BY THE PROVISIONS OF STATE AND LOCAL (CITY AND/OR COUNTY) HUMAN RIGHTS OR FAIR HOUSING ORDINANCES IF ANY AND AGREE TO COMPLY WITH THE SAME.

10. Indemnification. Client hereby indemnifies and holds Agent, Compass and Compass's agents harmless from any and all claims, disputes, litigation, judgments, costs and legal fees arising from misrepresentations by Client or other incorrect information supplied by Client.

11. Limitation of Liability. Except for Compass's willful misconduct, Compass's liability for any breach or negligence in its performance of its duties under this Agreement shall be limited to the amount of compensation actually received by Compass under this Agreement.

12. Authority. Client represents that Client is authorized to enter into this Agreement.

13. Dispute Resolution. Any dispute, controversy or claim arising out of or related to this Agreement or the breach of this Agreement by either Party shall be arbitrated in accordance with the American Arbitration Association, Chicago, Illinois.

14. Miscellaneous. This Agreement: **(a)** represents the entire agreement between the Parties, **(b)** is binding upon all successors and assigns; **(c)** except for assignments or transfers by Compass to affiliates, cannot be transferred or assigned by either Party without the other Party's written consent; **(d)** is governed by Illinois state law; **(e)** may be executed in one or more counterparts, including via, including via electronic signatures and **(f)** shall be deemed to have been negotiated and prepared jointly by the Parties. If a provision of this Agreement is deemed invalid, illegal or otherwise unenforceable, the remaining provisions of this Agreement shall in no way be affected.

(g) Wire Fraud. If, at any time, you receive an email communication that (i) requests sensitive financial information or provides wire transfer instructions, and (ii) purports to come from your listing agent, a Compass representative, or other third party, it may be fraudulent. Do not wire money without verbally verifying the wire instructions with your Designated Agent/Compass Representative and confirming with the intended recipient. Compass is not responsible for and will be held harmless for any fraudulent wire transfer.

Lessee(s) Initials: _____

(SIGNATURE PAGE TO FOLLOW)

Please sign below as confirmation of your agreement, retain a copy, and return a signed copy to Compass.

Accepted and agreed to:

Lessee's Signature
Name: _____
Date: _____
Email: _____
Phone: _____

Lessee's Signature
Name: _____
Date: _____
Email: _____
Phone: _____

Address (if different than address of Property):

Designated Agent Signature _____

Name: _____

Date: _____

Designated Agent II Signature _____

Name: _____

Date: _____

Compass Authorized Signatory: _____

Name: _____

Date: _____

Enclosures: Illinois Flood Disclosure, Lead-Based Paint Disclosure and Guidelines, Radon Disclosure and Guidelines, MLS Listing Exemption Authorization Form, 3 Phased Marketing Addendum, Private Listing Network Authorization Form (as applicable).

